

to bookies, drug dealers, friends and family, unfunded Social Security obligations (which total \$2.8t. to \$10t., depending upon one's definitions), or Federal deposit insurance obligations to banks, S&Ls and credit unions (which total another \$2.8t.). These latter items add between \$6t. and \$14t. to the total debt. This amount might be offset somewhat by the value of tax receipts that will be available to meet at least some of the government's insurance obligations, so we might very conservatively estimate the total debt at approximately **\$20 trillion**. This amount compares to the total value of privately held U.S. real estate, which stands at \$12.9 trillion, and the total value of U.S. equities, which stands at \$6.1 trillion, for a *total value of privately held non-debt based investment assets of \$19 trillion*, approximately the same figure. To put the value of the total debt in perspective, to pay it off tomorrow would require the sale, *at today's high prices*, of the entire land mass of the fifty United States and its territories and all publicly owned U.S. companies in existence (after which would still be owed a trifling trillion dollars). The problem with even contemplating that fanciful solution is that the debtors do not own much in the way of those assets. We can say that in essence, the country's debtors have borrowed, and to a great degree consumed, the entire investment value of the United States of America.

The growing level of debt and its decreasing quality are not limited to U.S. issues, either; it is a worldwide phenomenon. The richest country per capita in the world, Japan, in the late 1980s went as far as to develop "two generation" mortgages of fifty years' duration, ultimately to be paid off by the children of the borrower. The World Bank has reached so far down the creditworthiness scale in issuing its loans that it must have achieved an unbreachable low. Although the bank had seldom made loans of less than \$5 million before, two years ago it began lending \$50 and less to the world's poor individuals, none of whom have any collateral. It is as if the bank is *trying* to destroy money. In 1993, it lent \$18 billion in this fashion, and in 1994 \$16 billion, mostly of U.S. taxpayers' money. Would you want to hold these IOUs as an investment? The World Bank does. With poor individuals of the Third World now in hock, is there anyone left unmortgaged? We cannot even exclude the Roman Catholic Church. The Vatican has amassed a multi-billion dollar debt and continuously operates at a deficit that is becoming acute. Is Mother Theresa next?